

Customer Service Agreement - Operating Procedure

Smart & Final Stores LLC

SOP Number:	CST-0012
Customer Type:	Grocery Chain
Region:	Southern California & Nevada
Contract Term:	Jan 1, 2025 - Dec 31, 2025
Sites Covered:	10 location(s)
Primary Contact:	Derek Chu, Sr. Facilities Manager d.chu@smartandfinal.com
Billing Contact:	vendorap@smartandfinal.com
TAG Account Manager:	Scott Koima
Monthly Contract Fee:	\$5,500/month (flat rate)

1. Purpose & Scope

This document summarizes the agreed service terms, billing rules, and field procedures governing Arcticom's refrigeration and mechanical services for Smart & Final Stores LLC. Field technicians, dispatch, and billing staff must reference this SOP before dispatching or invoicing on any Smart & Final work order.

This SOP supplements the executed Master Service Agreement (MSA) on file. In the event of any conflict between this SOP and the MSA, the MSA controls. Questions about scope or billing must be directed to the account manager before work is performed.

2. Preventive Maintenance Schedule

PM Frequency:	Monthly
PM Scope Summary:	Monthly PM on all refrigeration; emphasis on high-volume produce and frozen departments

Included PM Tasks:

- Monthly PM all locations; priority to produce multi-deck and frozen case racks
- Monthly condenser blow-off; quarterly full wet-wash (included)
- Inspect and replace door gaskets as needed (included standard sizes)
- Defrost heater inspection; replace standard 240V elements included
- Refrigerant top-off per included allowance
- Verify all case and walk-in temperatures; log in TAG and Smart & Final portal
- Flag any R-404A unit for phaseout tracking report (quarterly to Derek Chu)

3. Trip Charges

NOTE: BILLING STAFF: Trip charges are billable on Smart & Final work orders. See rates below.

Standard Trip Charge:	\$160 per dispatch (Mon-Fri, 7 am - 5 pm)
After-Hours Trip Charge:	\$265 per dispatch (evenings, weekends, holidays)
Emergency Waivers:	First 3 emergency call(s) per contract year - trip charge waived
Emergency SLA:	On-site response target: 2 hours
Warranty Callbacks:	Trip charge waived if callback within 30 days of prior repair on same unit

Trip charges (where applicable) appear as a separate line item on the invoice. Use billing code TC-STD (standard hours) or TC-AH (after-hours) in ServiceMax.

4. Refrigerant Policy

Included Allowance:	R-448A and R-404A up to 3 lbs included; Smart & Final in active R-404A phaseout
Coil Cleaning:	Included - monthly blow-off; full wash quarterly
Door Gaskets:	Included - standard sizes
Defrost Heaters:	Included for 240V standard elements; 3-phase billed T&M
After-Hours Calls:	After-hours covered under contract up to emergency waiver limit

Refrigerant usage beyond the included allowance is billed at Arcticom current commodity rate plus applicable handling fee. Technician must document all refrigerant additions on the service ticket and in ServiceMax, including refrigerant type, quantity, and unit ID.

5. Non-Covered / Billable Items

The following are NOT included in the contract and must be invoiced at standard T&M rates unless a separate written agreement covers them:

- Floral coolers (managed by floral vendor)
- HVAC and building systems
- Food prep equipment (slicers, ovens, etc.)

For any work outside the contracted scope, obtain written approval from the primary contact (Derek Chu) before beginning work. Estimates over \$500 require written customer sign-off prior to scheduling.

6. Labor Rates (T&M Work)

Rate Type	Hours / Conditions	Rate
Standard Labor	Mon-Fri, 7 am - 5 pm	\$112/hr
Overtime Labor	Mon-Fri, 5 pm - 10 pm	\$148/hr
Weekend / Holiday	Sat, Sun, observed holidays	\$168/hr
Emergency Premium	Any day, midnight - 6 am	\$195/hr
Apprentice Rate	Supervised apprentice on job	\$78/hr

Minimum charge: 1 hour on all T&M dispatches. Time billed in 15-minute increments thereafter.

Repair estimates over \$500 require written approval from Derek Chu before work begins. Emergency repairs are exempted from pre-approval but require post-work documentation and notification.

7. Dispatch & Work Order Procedures**Scheduling PM Visits**

- PM coordinator contacts Derek Chu minimum 5 business days in advance
- Customer requires minimum 48-hour confirmation before technician on-site
- Log all PM visits in ServiceMax and customer's facilities portal
- PM report emailed to customer contact within 24 hours of visit completion

Service Call (Reactive) Dispatch

- Log all service requests in ServiceMax within 15 minutes of receipt
- Emergency (P1) calls: notify Derek Chu via email within 30 minutes of dispatch
- Obtain customer PO or written approval for all T&M work over \$300 before starting
- Do not provide customers with direct technician cell phone numbers

8. Billing & Invoicing Rules

Invoice Cycle:	Monthly flat fee on 1st of month; T&M within 5 business days of close
Invoice Delivery:	Email to vendorap@smartandfinal.com with PDF work order attached
PO Requirement:	All T&M invoices must include customer PO number
Line Item Format:	Separate lines for labor, trip charge, parts, refrigerant
Payment Terms:	Net 30; 1.5%/month late fee after 45 days

9. Customer-Specific Requirements & Notes

R-404A Phaseout

Smart & Final has committed to full R-404A elimination by 2027. All R-404A units must be flagged in ServiceMax and reported quarterly to Derek Chu. Do not recommend R-404A top-off as long-term solution.

Dual Portal

Service records must be entered in both ServiceMax and the Smart & Final Facilities portal within 24 hours. Payment is withheld until both portals are updated.

10. Escalation & Contact Directory

Role	Name	Title	Email / Contact
Primary Facilities	Derek Chu	Sr. Facilities Manager	d.chu@smartandfinal.com
Billing / AP	AP Department	Accounts Payable	vendorap@smartandfinal.com
TAG Account Manager	Scott Koima	The Arcticom Group	See ServiceMax
TAG Dispatch (24/7)	Dispatch Center	Emergency & Scheduling	dispatch@arcticomgroup.com

11. Document Control

Document Owner:	Scott Koima, The Arcticom Group
Review Cycle:	Annual (upon contract renewal) or when MSA terms change
Distribution:	Field technicians, PM coordinator, billing staff, dispatch team

This document is for internal Arcticom Group use only. It summarizes but does not replace the executed MSA on file. Field staff with questions about scope or billing should contact the account manager before performing or invoicing any work.